

xStore — Buyer Refund Methodology

Full business case catalogue for backend implementation · prepared 2026-08-09

This is a companion document to **04 — Vendor Commission Wallet & Settlement**. That document covers the **commission** side of a return: reversing the platform's fee so a vendor isn't charged for an order that didn't actually happen commercially. This document covers the separate question — the **buyer's money**: who actually owes the buyer a refund, and how it physically moves.

The two are genuinely different problems because of how xStore's payment model works:

- 100% Cash on Delivery. There is no card/wallet payment captured at checkout to reverse — a "refund" always means someone handing physical cash (or its equivalent) back.
- For **self-delivered** orders, the vendor collects cash directly from the buyer. The platform never touches that money, so it has no direct role in the refund itself — only in the commission reversal.
- For **courier-delivered** orders (the courier pilot), the platform's own courier collects the cash and the platform pays the vendor net. This means the platform **does** hold real money mid-transaction — which is the one place a refund can become the platform's problem, not just the vendor's.

Cases

Case	Trigger	Expected behavior	Notes / open question
Self-delivered order, buyer refuses at hand-off (before paying)	Buyer declines to accept/pay when the vendor arrives	No cash ever changed hands — nothing to refund. Order cancels; the platform's commission never accrues.	Not really a refund case; listed to disambiguate from the true post-payment case below.
Self-delivered order, buyer paid, then wants a return	Buyer accepted and paid cash, later requests a return (e.g. defective item)	The vendor refunds the buyer directly, in cash — the platform never held this money. The platform's only involvement is reversing its commission on that order.	The platform has no visibility or enforcement over whether the vendor actually pays the buyer back. This is a real trust gap — a vendor could simply refuse a legitimate return. Needs a policy: buyer complaint channel, vendor rating impact, or both.
Courier-delivered order, buyer refuses at the door (before paying)	Buyer declines the COD hand-off to the courier	No cash is collected — nothing to refund. Order cancels; commission never accrues.	Symmetric with the self-delivery refusal case, just on the courier channel.

Case	Trigger	Expected behavior	Notes / open question
Courier-delivered order, buyer paid, then wants a return	Buyer paid the courier, and the platform has since collected that cash (and, per the locked courier model, may have already paid the vendor net)	Not yet decided.	This is the single biggest open question in this document: does the platform refund the buyer out of its own pocket and claw back the vendor's net payout, or does it net the refund against the vendor's <i>next</i> payout instead of reversing one already made? Real cash is now moving backward through three parties (buyer ← platform ← vendor), not just a fee reversal — needs an explicit owner decision before courier delivery scales past the pilot.
Partial return on a multi-item order	One line item of a multi-item order is returned; rest are kept	Refund is proportional to the returned item's price only.	Refund math must key off order-item, not order — same requirement as the commission-side tracking in the companion document.
Refund scope — does it include the delivery/courier fee?	Any return where a delivery fee was charged at checkout	Not yet decided.	If the return is the buyer's choice (changed their mind), refunding the delivery fee is a real cost someone eats for nothing; if the item was wrong/defective, arguably the fee should be refunded too. Depends on the still-open “who pays the delivery fee” decision from the courier pilot design.
Return logistics — who picks the item back up?	Buyer wants to physically return a delivered item	Not yet decided.	For courier-delivered orders: does the same courier network run a reverse trip (a new delivery job, no cash involved), or is return pickup the vendor's/buyer's own problem? Affects courier operational load and whether a “reverse delivery” order type needs to exist at all.
Refund timing / SLA	Any approved return	Not yet decided.	No target exists for how quickly a vendor must refund a buyer, or how quickly the platform resolves the courier-held-cash case above. Worth a stated target (e.g. same-day for in-person cash returns) so it's actually enforceable rather than implied.

Case	Trigger	Expected behavior	Notes / open question
Refund fraud — buyer falsely disputes a delivered order to get money back	Buyer claims non-delivery or a defect after actually receiving a working item	Not yet decided.	Worth deciding evidence requirements (return photo, courier confirmation) before this becomes a real loss channel — especially in the courier-held-cash case, where the platform itself would be out of pocket, not just the vendor.
Buyer wants a partial refund without returning the item (e.g. price adjustment for minor defect)	Buyer and vendor agree to a discount instead of a full return	Not yet decided.	No mechanism exists for a refund amount that isn't tied to a full order-item reversal. If this is a real business case, it needs its own adjustment type rather than overloading the return flow.

The courier-delivered return case above is the one place a refund becomes a genuine platform liability — real cash the platform may have already paid out, not just a fee it hadn't collected yet. Recommend resolving it with the owner before courier delivery scales past the pilot; everything else here can follow the vendor's existing self-delivery trust model.

Recommend backend scope this as: (1) build the self-delivery cases first — they require no new money movement, only correct commission-reversal bookkeeping (see the companion document); (2) treat the courier-held-cash refund case as a policy decision to raise with the owner, not something to silently default on; (3) leave delivery-fee refund scope and return-logistics ownership as open flags until the underlying “who pays the delivery fee” decision from the courier pilot is made.